> Credit scores affect apartment leases, insurance policies, and job promotions!

Jane does not get the job and wants to scream that she was discriminated against. The employer simply says, "Oh yeah? Just look at this credit report." The potential employer saw that Jane bounced from job to job, made late payments on the vast majority of her bills, and had several accounts turned over to collections. That very easily can deny a job or a promotion. The employer didn't see Jane as a good employee, a trustworthy asset for the company, and her credit report was proof of that. Jane cannot file discrimination because the potential employer can legitimately use the credit report in his decision making process.

One Score? Three Scores?

Each credit reporting agency has a credit report on you, and each tallies their own score. Not all creditors report in to all three credit reporting agencies. They only have to talk about you to one.

Maybe your MasterCard account reports to Experian; your Macy's credit card reports to Equifax; and your American Express card reports to TransUnion. They each calculate your credit score based upon what information they have on your credit report, so each credit score may be slightly different. It is normal and no big deal.

Secret Formulas

The baked beans guy does not want you to know his family's secret recipe, the formula for Coca-Cola is locked in a vault somewhere, and the complex mathematical algorithm for computing credit scores is not out there, floating around on the internet. If Grandma Elsie would have wanted you to know the secret ingredient in her mashed potatoes, she would have told you. If the consumer lending industry wanted us to know the intricacies of the credit score calculation, it would be in every debt book and discussed in every financial seminar. It would even have its own webisode on YouTube.